

Model Report

****Pandoc not found. HTML is generated, and Python fallback also exports PDF.****

Model Choice

- Selected model: ****lasso****
- Selection rationale: Selected lasso as it had the lowest CV RMSE among compared models

Model Comparison

Performance comparison across different models:

Model	CV RMSE (log)	Holdout RMSE (log)	Holdout RMSE ()	HoldoutMAE()
gradient_boosting	0.1916	0.2136	48561	26442
lasso	0.1439	0.1360	24000	15827
random_forest	0.1507	0.1501	29676	17807

1) Coding (Core Pipeline)

```
```python
from sklearn.compose import ColumnTransformer
from sklearn.impute import SimpleImputer
from sklearn.linear_model import LassoCV
from sklearn.pipeline import Pipeline
from sklearn.preprocessing import OneHotEncoder, StandardScaler

preprocessor = ColumnTransformer([
 ("num", Pipeline([
 ("imputer", SimpleImputer(strategy="median")),
 ("scaler", StandardScaler()),
]), numeric_cols),
 ("cat", Pipeline([
 ("imputer", SimpleImputer(strategy="most_frequent")),
 ("onehot", OneHotEncoder(handle_unknown="ignore")),
]), categorical_cols),
])

model = Pipeline([
 ("preprocessor", preprocessor),
 ("lasso", LassoCV(cv=5, random_state=42)),
])
```

...

## ## 2) Regression Equation

General form:

-  $y = \text{loglp}(\text{SalePrice})$   
-  $y_{\text{hat}} = \beta_0 + \sum(\beta_j * x_{j\_tilde})$

Expanded equation (Top10 coefficients only):

```text

$y_{\text{hat}} = 11.911357 - 0.868460 * \text{cat_RoofMatl_ClyTile} - 0.165819 * \text{cat_Condition2_PosN} + 0.107589 * \text{num_GrLivArea}$

```

Top10 absolute coefficients:

Rank	Feature	Coefficient
1	cat_RoofMatl_ClyTile	-0.868460
2	cat_Condition2_PosN	-0.165819
3	num_GrLivArea	0.107589
4	cat_Neighborhood_StoneBr	0.098500
5	cat_Neighborhood_Crawfor	0.093396
6	cat_Exterior1st_BrkFace	0.087284
7	num_OverallQual	0.080970
8	cat_Neighborhood_NridgHt	0.068053
9	cat_Functional_Typ	0.058659
10	cat_MSZoning_RM	-0.054916

## ## 3) Model Result

- Model type: **\*\*lasso\*\***  
- Best alpha: **\*\*0.00078140\*\***  
- Non-zero features: **\*\*87\*\***  
- Top coefficients/importances file: `outputs/top\_coefficients.csv`  
- CV protocol: `KFold(n\_splits=5, shuffle=True, random\_state=42)` with `neg\_root\_mean\_squared\_error` on loglp

Top positive coefficients:

Feature	Coefficient
num_GrLivArea	0.107589

	cat_Neighborhood_StoneBr		0.098500	
	cat_Neighborhood_Crawfor		0.093396	
	cat_Exterior1st_BrkFace		0.087284	
	num_OverallQual		0.080970	
	cat_Neighborhood_NridgHt		0.068053	
	cat_Functional_Typ		0.058659	
	cat_Condition1_Norm		0.048450	
	cat_BsmtQual_Ex		0.045596	
	cat_Neighborhood_Somerst		0.043984	

Top negative coefficients:

	Feature		Coefficient	
	---		---	
	cat_RoofMatl_ClyTile		-0.868460	
	cat_Condition2_PosN		-0.165819	
	cat_MSZoning_RM		-0.054916	
	cat_CentralAir_N		-0.047431	
	cat_SaleCondition_Abnorml		-0.046101	
	cat_Neighborhood_Edwards		-0.042191	
	cat_LandContour_Bnk		-0.039253	
	cat_BldgType_Twnhs		-0.033140	
	cat_BsmtFinType1_Unf		-0.032548	
	cat_BsmtCond_Fa		-0.026081	

### Coefficient interpretation

- Numeric features use StandardScaler, so each numeric coefficient means expected change in  $\log(\text{SalePrice})$
- Categorical features are one-hot encoded, so each category coefficient is interpreted relative to the omitted category
- Rare-category coefficients can be unstable; treat them as predictive signals rather than causal effects.

## 4) Graph: Predicted vs Actual

![Holdout Predicted vs Actual](pred\_vs\_actual.png)

## 5) RMSE

RMSE (log1p scale) formula:

- $\text{RMSE}_{\log} = \sqrt{(1/n) * \sum((y_i - \hat{y}_i)^2)}$ , where  $y = \log(\text{SalePrice})$ .
- This log-scale error emphasizes multiplicative/relative discrepancy.

Back-transform and dollar-scale metrics:

- $\text{SalePrice}_{\hat{}} = \exp(\hat{y}) - 1$

- SalePrice\_true = exp(y\_true) - 1
- typical\_relative\_error = exp(holdout\_rmse\_log) - 1

Metric	Value
holdout_rmse_log	0.135977
cv_rmse_log_mean	0.143861
holdout_rmse_dollar	23999.75
holdout_mae_dollar	15826.82
typical_relative_error = exp(holdout_rmse_log)-1	0.145656 (14.57%)

- 5-fold CV RMSE (folds): 0.131197, 0.188898, 0.111487

### ### Baseline vs Filtered (Sensitivity Analysis)

- Filtered sensitivity run was unavailable in this execution.
- This is a sensitivity analysis for influential points, not arbitrary deletion of data.
- A better filtered score indicates influence sensitivity; otherwise baseline is already robust.

### ## Appendix: Outlier Diagnostics

Note: Outlier filtering was not applied in this model comparison run.

Outlier impact figure:

- See `../graph/09\_outlier\_impact\_rmse.png` for RMSE before and after removing high-influence points.
- The chart is a sensitivity check: a noticeable RMSE drop indicates a small set of influential points drives
- If the change is small, model performance is relatively robust to those candidate outliers.

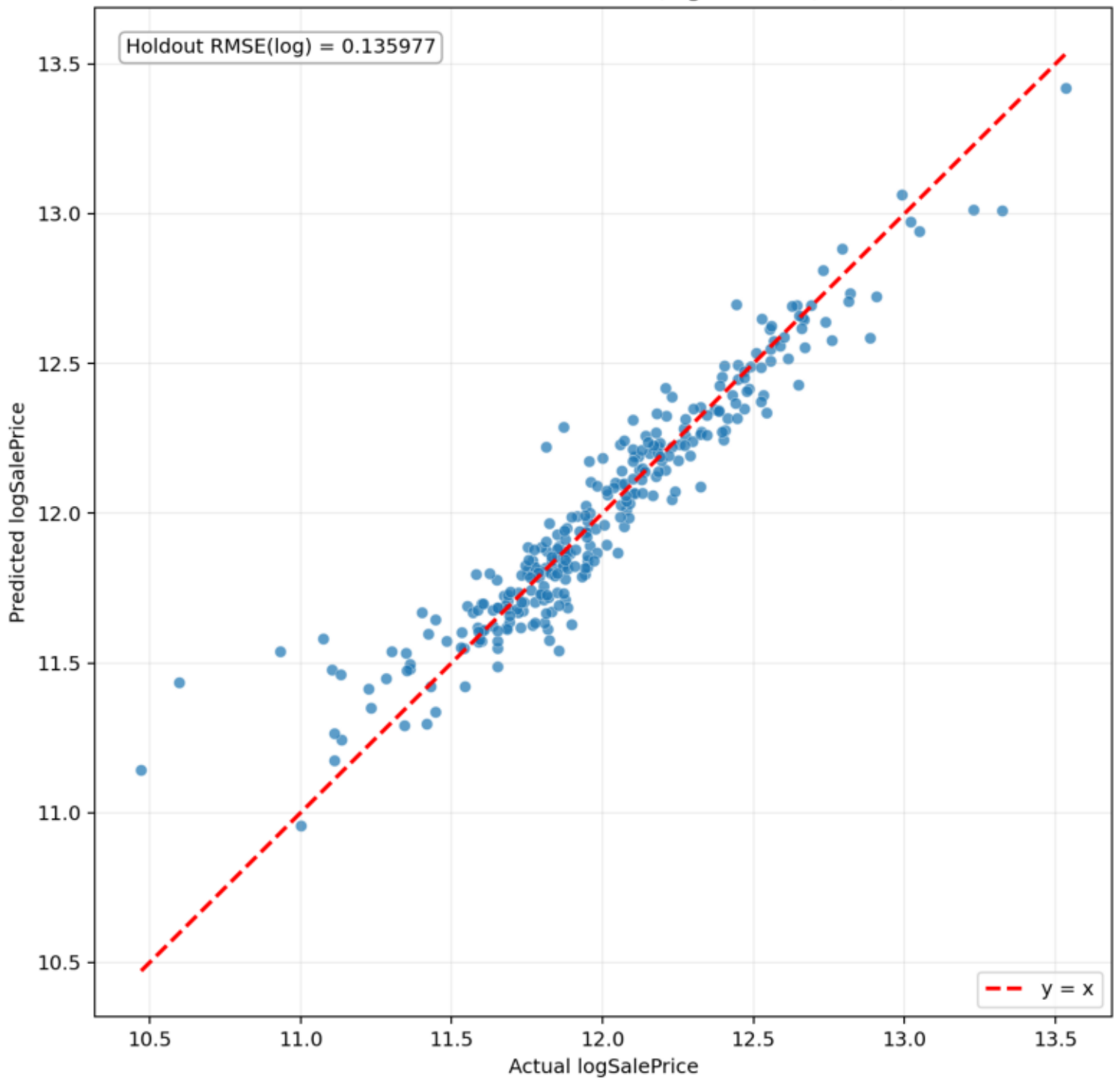
### ## Appendix: Model Comparison Visualizations

Feature importance comparison:

- See `../graph/12\_lasso\_coefficients.png` for top Lasso coefficients by absolute magnitude.
- See `../graph/13\_random\_forest\_importances.png` for top Random Forest feature importances.
- See `../graph/14\_gradient\_boosting\_importances.png` for top Gradient Boosting feature importances.
- See `../graph/15\_model\_comparison\_rmse.png` for RMSE comparison across all models.
- See `../graph/16\_residual\_distributions.png` for residual distribution comparison across models.

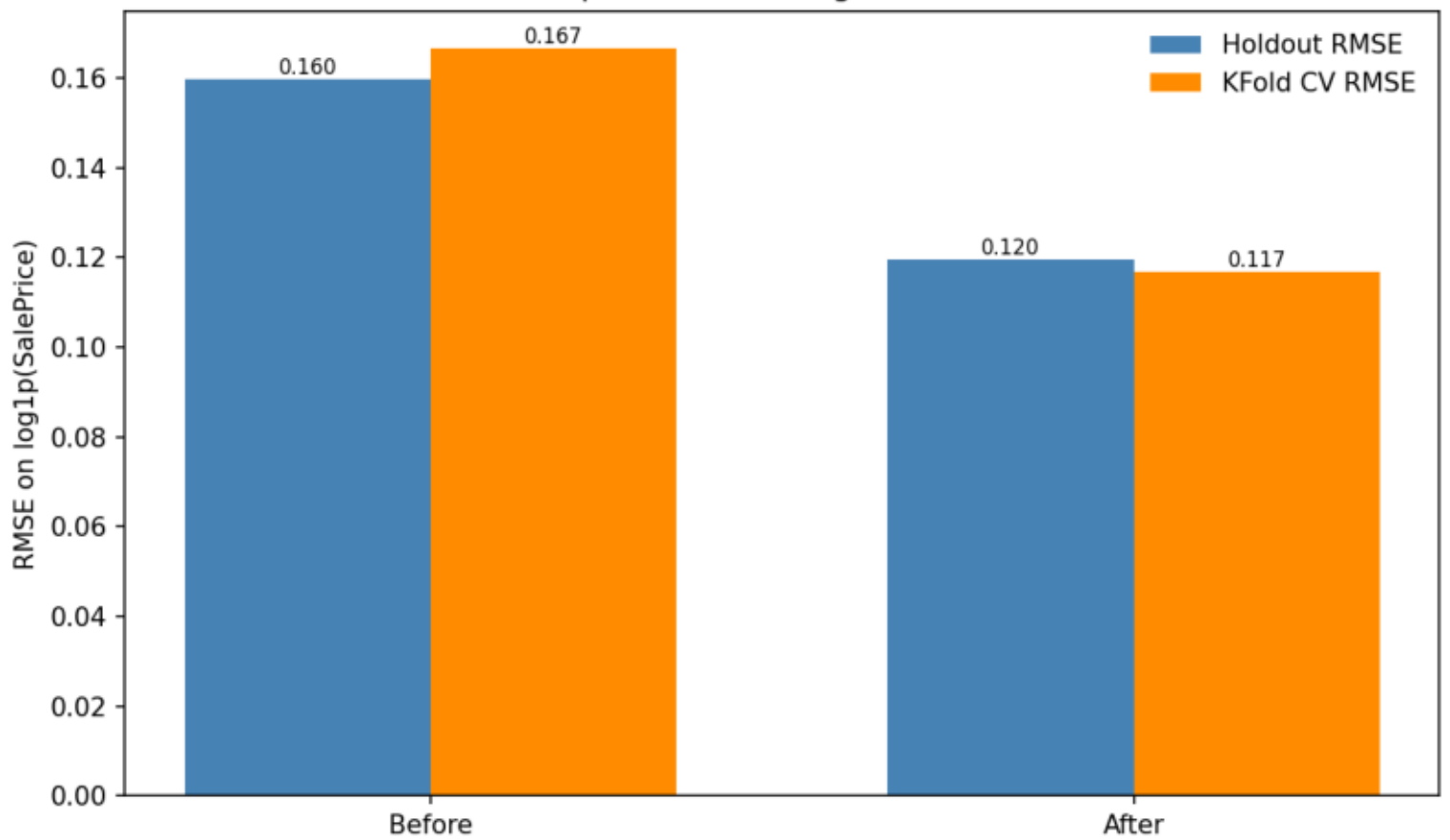
pred\_vs\_actual.png

Holdout: Predicted vs Actual (logSalePrice, lasso)



09\_outlier\_impact\_rmse.png

RMSE Impact of Removing Influential Points



08\_cooks\_distance.png

